

2.3 BUSINESS CYCLE

Multiple Choice Questions

1994/CE/II/35

According to the data below, what do we call the phase of the business cycle that the economy was in 1991?

Year	1989	1990	1991	1992	1993
Real GDP growth rate (%)	1.5	0.0	2.1	2.8	3.5

- A. recovery
- B. peak
- C. recession
- D. through

1994/CE/II/36

During recession,

- (1) the growth rate of national income is steady.
- (2) the general price level begins to rise.
- (3) the unemployment rate increases.
- (4) the production level declines.

- A. (1) and (2) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (3) and (4) only

1995/CE/II/35

Which of the following will happen in times of recession?

- (1) The total demand for goods and services will decrease.
- (2) The budget deficit will decrease.
- (3) The unemployment rate will increase.
- (4) The balance of payments deficit will increase.

- A. (1) and (3) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (2) and (4) only

1996/CE/II/59

Which of the following is **NOT** a characteristic of the phase of recession in a business cycle?

- A. The consumption expenditure decreases.
- B. The investment expenditure decreases.
- C. The unemployment rate increases.
- D. The government suffers from fiscal deficit as her tax revenue decreases and expenditure increases.

1997/CE/II/30

An economy is experiencing the following: the unemployment rate is declining, prices have stopped falling and started rising, and investment expenditure is expanding. It is in the _____ phase of a business cycle.

- A. recovery
- B. peak
- C. recession
- D. trough

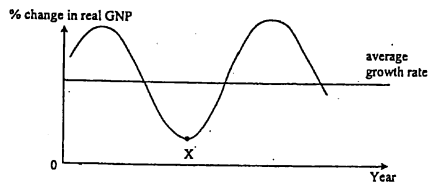
1998/CE/II/27

Which of the following indicates that the economy is beginning to recover from depression?

- A. decreasing price level
- B. increasing government fiscal deficit
- C. decreasing balance of payments deficit
- D. increasing employment rate

1999/CE/II/27

In the diagram below, X is situated in a certain phase of the business cycle. Which of the following is a characteristic of the phase?



- A. The real GNP has a zero growth rate.
- B. The nominal GNP is higher than the real GNP
- C. The investment expenditure of the economy is zero.
- D. The unemployment rate is high.

1999/CE/II/28

According to the government, Hong Kong experienced a recession in 1998 because three consecutive quarters, there was

- A. An increase in the unemployment rate.
- B. A fall in the average wage rate.
- C. A fall in the general price level.
- D. A negative growth rate of real gross domestic product (GDP)

2000/CE/II/37

The following phenomena are observed in an economy:

- (1) Industrial output on an upward trend
- (2) Increasing imports and exports
- (3) Growth of retail receipts
- (4) Forecast of economic growth being revised upwards.

Which phase of the business cycle is the economy in?

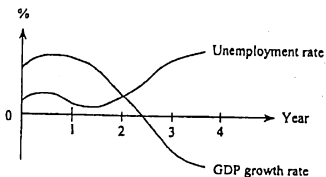
- A. peak
- B. recession
- C. trough
- D. recovery

2001/CE/II/38

If Hong Kong is in the stage of recovery in the business cycle,

- A. government expenditure will increase.
- B. the proportion of tax revenue in total government revenue will decrease.
- C. government revenue from direct taxes will increase.
- D. there will be a budgetary surplus for the government.

2002/CE/II/28



The information above shows that the economy is in a stage of _____ in Year 3.

- A. recession
- B. depression
- C. recovery
- D. prosperity

2004/CE/II/32

When an economy is in the recovery stage,

- (1) retail receipts will increase.
- (2) the government will have a budget surplus.
- (3) the unemployment rate will fall.
- (4) the balance of payments deficit will decrease.

- A. (1) and (3) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (2) and (4) only

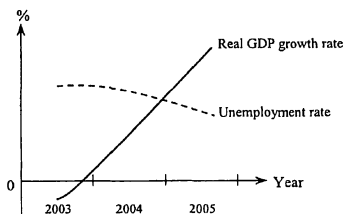
2005/CE/II/31

The following is observed in an economy: the unemployment rate is decreasing, the price level is no longer falling but rising instead, and the investment expenditure is increasing.

In which phase of the business cycle is the economy situated?

- A. recovery
- B. peak
- C. recession
- D. trough

2006/CE/II/27

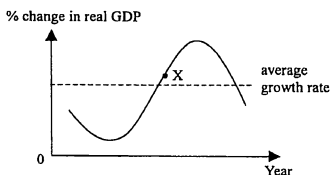


According to the above information, the economy is in a stage of _____ in 2004.

- A. recovery
- B. prosperity
- C. recession
- D. depression

2007/CE/II/31

In the diagram below, X is situation in a certain phase of the business cycle. Which of the following is a characteristic of this phase?



- A. The general price level is falling.
- B. The consumption expenditure is falling.
- C. The balance of payments surplus is increasing.
- D. The level of investment is increasing.

2008/CE/II/29

In the stage of economic _____, the percentage change in real GDP _____.

- A. recession could be negative
- B. recovery is equal to the inflation rate
- C. prosperity will be constant
- D. depression will be zero

2009/CE/II/31

The following phenomena are observed in an economy:

- ♦ Total sales value at the retail level is decreasing.
- ♦ Bankruptcy petitions are increasing.
- ♦ The inflation rate is falling.
- ♦ The forecast of economic growth has been revised downward.

Which phase of the business cycle is the economy in?

- A. peak
- B. recession
- C. trough
- D. recovery

2010/CE/II/31

The following phenomena are observed in an economy:

- ♦ Retail receipts are increasing.
- ♦ The employment of the manufacturing sector is increasing.
- ♦ The stock prices are increasing.
- ♦ The forecast of the real GDP growth rate has been revised upward.

Which phase of the business cycle is the economy in?

- A. peak
- B. recession
- C. trough
- D. recovery

2010/CE/II/44

Which of the following will increase in times of economic recovery?

- A. trade surplus
- B. budget deficit
- C. government expenditure
- D. direct tax revenue

2013/DSE/I/33

The following phenomena are observed in an economy:

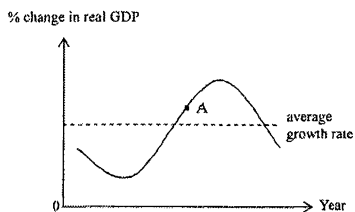
- (1) The unemployment rate is increasing.
- (2) The inflation rate is no longer rising but falling instead.
- (3) The inventories of producers are accumulating.
- (4) The forecast of economic growth is revised downward.

The economy is in the _____ phase of a business cycle.

- A. recession
- B. trough
- C. recovery
- D. peak

2014/DSE/I/39

In the diagram below, A is situated in a certain phase of the business cycle.

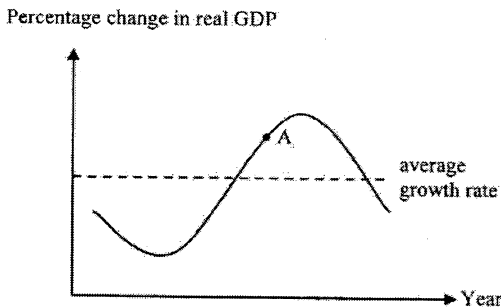


At Point A, there will be an increase in _____ in the economy.

- (1) the labour employment level
 - (2) the general price level
 - (3) the sales of firms
 - (4) transfer payments
- A. (1) and (2) only
 B. (3) and (4) only
 C. (1), (2) and (3) only
 D. (1), (2), (3) and (4)

2021/DSE/I/39

Study the following diagram.

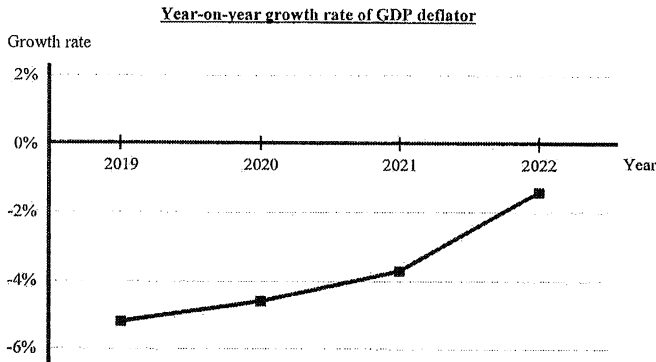


Which of the following are the features of an economy when it is operating at point A?

- (1) Labour supply is increasing.
 - (2) Purchasing power of money is decreasing.
 - (3) Government expenditure is increasing.
 - (4) Business confidence of companies is increasing.
- A. (1) and (3) only
 B. (1) and (4) only
 C. (2) and (3) only
 D. (2) and (4) only

2023/DSE/I/39

The following chart shows the changes in the GDP deflator of a country.



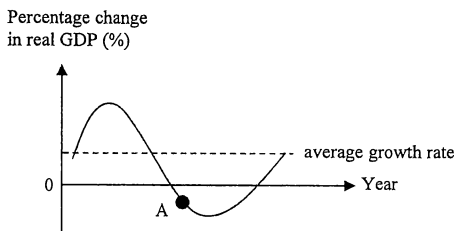
Based on the above chart, which of the following statements about the country during the above period are correct?

- (1) The purchasing power of money increased.
- (2) The nominal GDP growth rate was lower than the real GDP growth rate.
- (3) The cost of living increased.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2025/DSE/I/36

Study the following diagram.



Which of the following are economic phenomena that likely occur when an economy is operating at point A?

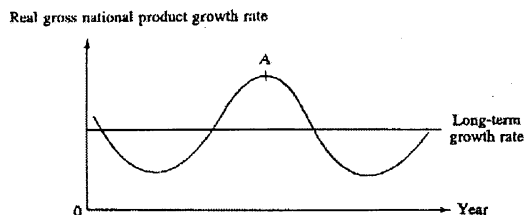
- (1) The percentage of shop premises that are vacant is increasing.
- (2) The frequency of non-repayment of bank loans is increasing.
- (3) The expenditure on imported goods is increasing.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

Short & Structured Questions

1995/CE/1/7

Look at the business cycle shown below. Identify the phase which point A is in. Indicate **THREE** general economic phenomena which occur in this phase.



(4 marks)

1995/CE/1/6(a)

Study the following data about Hong Kong.

Year	Quarter	Year on year % change in real gross domestic product (GDP)	Unemployment rate (%)	Composite consumer price index
1998	2 nd	-5.1	4.4	119.2
	3 rd	-6.8	5.0	118.6
	4 th	-5.7	5.7	116.1
1999	1 st	-3.4	6.2	115.6

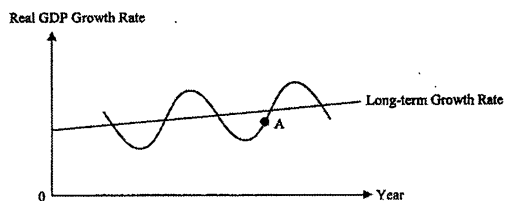
Identify the phase of business cycle the economy was in during the above period of time. Give the **THREE** economic phenomena of this phase as indicated by the above data.

(4 marks)

2008/CE/1/5

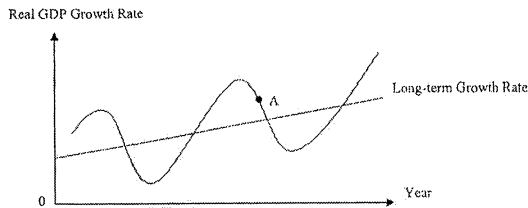
Refer to the business cycle shown below. Identify the phase which point A is in. Apart from the information about the real gross domestic product (GDP) growth rate in this phase, give **TWO** general economic phenomena which occur in this phase.

(3 marks)



2010/CE/I/7

Refer to the business cycle shown below.



- (a) Point A is in the _____ phase of the business cycle. (1 mark)
- (b) Apart from the change in the real gross domestic product (GDP) growth rate, give **TWO** general economic phenomena which occur in this phase. (2 marks)

2012/DSE/II/6(b)

Rising unemployment is one of the phenomena which occurs during economic recession.

Other than rising unemployment, give **TWO** other economic phenomena which would occur during economic recession. (2 marks)

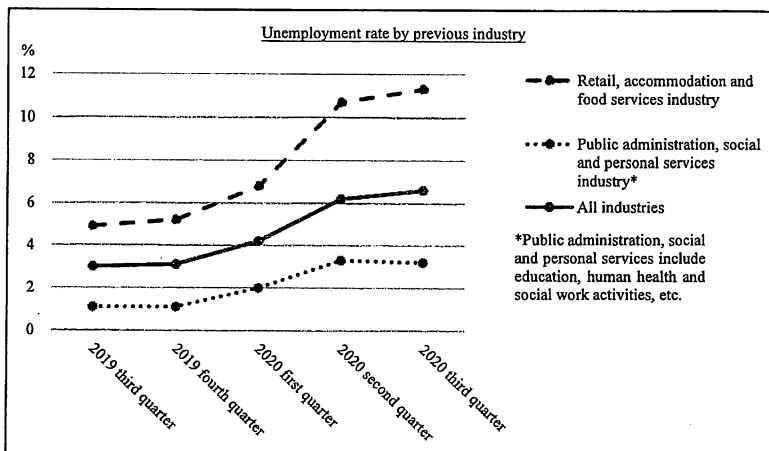
2016/DSE/II/6(c)

Suppose the country is in the phase of recovery. Apart from the reduction in unemployment rate, give **TWO** general economic phenomena during recovery. (2 marks)

2022/DSE/11/11a1

The Government launched the Consumption Voucher Scheme in 2021 to relieve the impact of COVID-19 on the Hong Kong economy.

Source A: Statistical data about unemployment rate in Hong Kong



Source B: An extract of information about the Consumption Voucher Scheme

All Hong Kong permanent residents and new arrivals aged 18 or above, who comply with the 'residing in Hong Kong*' requirement, could register to receive electronic consumption vouchers with a total value of \$5 000 by instalments.

Source C: Information about the four designated stored value facilities to receive the \$5 000 consumption vouchers by instalments

	AlipayHK  AlipayHK	Octopus  八達通 Octopus	Tap & Go  Tap & Go	WeChat Pay HK  WeChat Pay
Public transportation with the above payment facilities installed	MTR, bus, mini bus and ferry	MTR, bus, mini bus and ferry	Bus and mini bus	None
Promotions to consumption voucher users	5 e-coupons	First 2 million registered customers enjoy \$18 of stored value	\$50 awarded when using virtual Tap & Go Unionpay card for the first transaction with an amount equal to or larger than \$50	e-coupons

Source D: Some reminders for the Consumption Voucher Scheme

- Consumption vouchers cannot be used in transactions such as payments to the government (e.g. tax), public utilities (e.g. electricity charges), purchase of financial products (e.g. insurance), and direct purchase from merchants located outside Hong Kong.
- There are deadlines for using consumption vouchers.

Source E: Some views on the Consumption Voucher Scheme in Hong Kong

A housewife 	I have spent more than \$5 000 as there are e-coupons from the stored value facility provider. A lot of promotions in large retail chains and malls have also tempted me to consume!
A former chef in a restaurant 	I have been laid off and have stayed home for months. No one knows when the travellers would be back. I hope that the Consumption Voucher Scheme will bring more local people to spend on food and beverage and the whole industry can survive the pandemic. Otherwise, many workers will be forced to leave the industry.
A doctor working in a public hospital 	Resources should be allocated to <i>the</i> medical sector, instead of giving everyone an equal amount under the Consumption Voucher Scheme. The public hospitals lacked space, manpower and equipment even before the pandemic. Start building new hospitals earlier so that more lives could be saved.

(a) Refer to Source A.

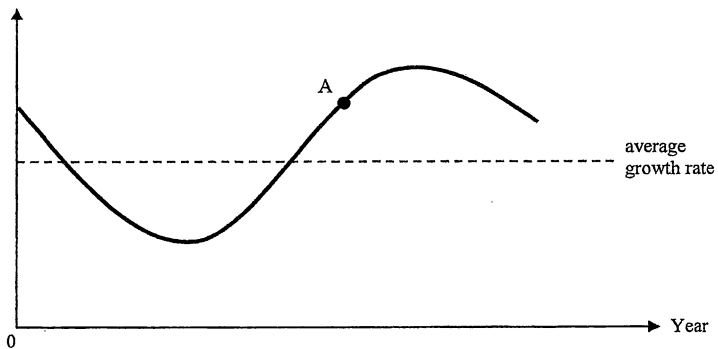
- (i) In which phase of business cycle the Hong Kong economy most likely was? Apart from the change in unemployment rate, list **ONE** other economic phenomenon of this phase. (2 marks)

2024/DSE/II/4

Figure 1 shows the percentage change in real gross domestic product (GDP) of an economy.

Figure 1

Percentage change in real GDP (%)



- (a) Identify the phase of business cycle that point A is in. (1 mark)
- (b) Apart from the change in real GDP, list **TWO** economic phenomena which would generally occur at point A. (2 marks)